

Skillsheet C | C1 skills (moved to B6 on 2026-10-06)

C1.1 | International Trade

Opening trade can raise domestic total surplus while making some domestic participants worse off.

Practice: Exercise C1 · Vignette C1 · Homework C1.

You pass if you can:

- Compare a given world price with the domestic equilibrium price to determine whether a small, price-taking country imports or exports.
- Calculate domestic quantity demanded, quantity supplied, and imports or exports at the world price.
- Identify whether domestic buyers and sellers gain or lose, and whether domestic total surplus rises or falls.

C1.2 | Tariffs

An import tariff raises the domestic price while imports continue.

Practice: Exercise C1 · Vignette C1 · Homework C1.

You pass if you can:

- For a nonprohibitive per-unit import tariff, calculate domestic price, domestic quantities, and remaining imports.
- Calculate tariff revenue as the tariff times imports.
- Identify buyers' losses and sellers' gains relative to free trade, and identify the production and consumption deadweight-loss regions on a graph. Numerical surplus changes and DWL areas are not required.